

Deals and Development: Country Reads Across Three Spaces

PSW's rents space, deals space, and political settlement, indicator by indicator

Institutional Complexity Project

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Framing

Pritchett, Sen & Werker (2018, *Deals and Development*, OUP) classify firms on two axes — target market (export vs. domestic) $\times$ source of profit (regulatory rents vs. market competition) — yielding four stakeholder types: **magicians** (export, competitive), **workhorses** (domestic, competitive), **rentiers** (export, regulatory rents), and **powerbrokers** (domestic, regulatory rents). Each type demands a different policy bundle along six axes (Table 1.1, p. 22):

	Transp. rules	Common infra	Special. infra	Contract enf.	Subsidies	Exclusivity
Magicians	x	x	x	x	x	
Workhorses	x	x		x		
Rentiers			x	x	x	x
Powerbrokers						x

PSW's framework has three analytical lenses, not one:

1. **The rents space** — the 4×6 stakeholder $\times$ policy-demand table above. The orthodox PSW reading uses sectoral GDP shares to locate a country's coalition; we instead read it institutionally — for each country, which of the demanded policies are actually being supplied? — without committing to a single dominant stakeholder.
2. **The deals space** — Pritchett's two axes of how firms transact with the state: *open vs closed* (can outsiders make deals or only insiders) and *ordered vs disordered* (can you rely on a deal once you have it). Mature liberal economies are open/ordered; developmental autocracies are closed/ordered; predatory states closed/disordered.
3. **The political settlement** — Khan (2010), adopted by PSW: the *vertical* power of the ruling coalition over excluded factions and the *horizontal* power of the leadership over its own allies. The 2×2 yields dominant-party, vulnerable-authoritarian-coalition, weak-dominant-party, and competitive-clientelist regimes.

This document builds each of the three reads from V-Dem and QoG indicators, then renders a handful of country profiles showing the joint picture. An earlier draft tried to compress the rents-space read into a single stakeholder-fit score per country; that approach is archived in `_archive_deals-development_stakeholder-fit.Rmd` and was discarded as overreaching the data.

Data

V-Dem and macro panel

```
## Latest V-Dem year: 2025
```

Table 1: Indicators per policy-demand axis

Axis	# indicators
transparent_rules	2

Axis	# indicators
common_infra	3
specialized_infra	4
contract_enforcement	6
subsidies_clientelism	2
exclusivity	2

Panel: 179 countries × 18 indicators

Axis construction

For each of the six policy demands we pick a small basket of V-Dem and QoG/macro indicators. The construction recipe is the same for every axis:

1. **Percentile-rank globally.** Each indicator is converted to its percentile within the country panel, putting it on $[0, 1]$ regardless of the original scale (V-Dem ordinal, QoG continuous, WDI in raw units, etc.). This avoids letting a single wide-ranged variable dominate the average.
2. **Sign-flip where needed.** Some indicators are coded so that higher values mean *less* of the demand being supplied (e.g. V-Dem’s `v2psparban` runs from 0 = “parties banned” up to 4 = “no party ban”, so high values mean *less* exclusivity). Those get flipped to `1 - pct` before averaging.
3. **Mean within axis.** The axis score is the unweighted mean of indicator scores. Missing values are dropped from the mean, so a country with partial coverage still gets scored on what’s available.

The result is a country × 6-axis matrix on $[0, 1]$ where higher = the country supplies more of what that policy demand is asking for.

Transparent rules

PSW define this as predictable, publicly known regulation — firms can plan based on rules they can read, not deals they have to negotiate. We use two complementary V-Dem indicators that capture the law-on-paper and the law-in-practice:

- **v2cltrslw — Transparent laws with predictable enforcement.** V-Dem question: “*Are the laws of the land clear, well publicized, coherent (consistent with each other), relatively stable from year to year, and enforced in a predictable manner?*” Ordinal 0–4, converted to interval by V-Dem’s measurement model: 0 = “Transparency and predictability are almost non-existent. The laws of the land are created and/or enforced in completely arbitrary fashion.” through 4 = “Transparency and predictability are very strong. The laws of the land are created and enforced in a non-arbitrary fashion.” This is about the *quality and coherence of the legal code itself* — whether the rules are knowable and stable.
- **v2clrspct — Rigorous and impartial public administration.** V-Dem question: “*Are public officials rigorous and impartial in the performance of their duties?*” The codebook clarifies that “this question focuses on the extent to which public officials generally abide by the law and treat like cases alike, or conversely, the extent to which public administration is characterized by arbitrariness and biases (i.e., nepotism, cronyism, or discrimination).” Ordinal 0–4 (interval after the measurement model): 0 = “The law is not respected by public officials. Arbitrary or biased administration of the law is rampant.” through 4 = “The law is generally fully respected by the public officials. Arbitrary or biased administration of the law is very limited.” This captures the *bureaucratic* face of the same concept — street-level impartiality.

A country could have clear laws applied corruptly (high `v2cltrnslw`, low `v2clrspct`) or murky laws applied conscientiously, so both are needed. Both run positively; no sign-flipping.

Indicator	Source	Direction	Gloss
<code>v2cltrnslw</code>	V-Dem	+	Transparent laws with predictable enforcement
<code>v2clrspct</code>	V-Dem	+	Rigorous and impartial public administration

Common infrastructure

The PSW demand is for the public goods every firm benefits from — electricity, water, basic education, transport. We pair one V-Dem fiscal-intent indicator with two WDI outcome variables that have near-universal coverage:

- **`v2dlencmps` — Particularistic vs. public-goods spending.** V-Dem question: “*Considering the profile of social and infrastructural spending in the national budget, how ‘particularistic’ or ‘public goods’ are most expenditures?*” The codebook clarifies that “particularistic spending is narrowly targeted on a specific corporation, sector, social group, region, party, or set of constituents... Public-goods spending is intended to benefit all communities within a society.” Ordinal 0–4 (interval after the measurement model), running from 0 = “Almost all of the social and infrastructure expenditures are particularistic” to 4 = “Almost all social and infrastructure expenditures are public-goods in character.” Higher = more public-goods spending mix; this is the *fiscal intent* side of common-infra supply.
- **`wdi_eg_elc_accs_zs` — share of population with access to electricity.**
- **`wdi_sh_h2o_basw_zs` — share of population with access to at least basic drinking water.**

The two WDI variables capture realised supply of universal infrastructure with broad country coverage. (Earlier drafts also included secondary enrolment and PWT human capital, which we drop here in favour of indicators more directly about physical-network infrastructure rather than human capital.) All three run positively.

Indicator	Source	Direction	Gloss
<code>v2dlencmps</code>	V-Dem	+	Particularistic vs. public-goods spending
<code>wdi_eg_elc_accs_zs</code>	QoG/macro	+	Electricity access (% pop.)
<code>wdi_sh_h2o_basw_zs</code>	QoG/macro	+	Basic drinking water access (% pop.)

Specialized infrastructure

This is the demand for sector-specific public investment that benefits a subset of firms — special economic zones, port facilities, R&D infrastructure, regulatory bodies that handle complex industries. V-Dem doesn’t capture this directly, so we lean entirely on outcome-side proxies. `wdi_lp_lpi_infr_xq` (Logistics Performance Index — infrastructure) and `wdi_is_shp_gcnw_xq` (Liner Shipping Connectivity Index) measure trade-enabling specialized infrastructure; `wdi_gb_xpd_rsdv_gd_zs` (R&D as % GDP) and `wdi_tx_val_tech_mf_zs` (high-tech export share) proxy R&D infrastructure and its outputs. We deliberately exclude the Atlas complexity indices (ECI, COI) here: they are downstream *outcomes* of specialized infrastructure rather than a measure of the institutional supply, and including them would risk circularity in later sanity checks against complexity. All four run positively; coverage is patchier than the other axes.

Indicator	Source	Direction	Gloss
wdi_lp_lpi_infr_xq	QoG/macro	+	Logistics Performance Index — infrastructure
wdi_is_shp_gcnw_xq	QoG/macro	+	Liner Shipping Connectivity Index
wdi_gb_xpd_rsdv_gd_zs	QoG/macro	+	R&D expenditure (% GDP)
wdi_tx_val_tech_mf_zs	QoG/macro	+	High-tech exports (% manufactured exports)

Contract enforcement

Courts that resolve commercial disputes predictably and protect property. V-Dem has the strongest battery here. We checked whether the property-rights composite already aggregates the judicial indicators and could replace them: it does not. **v2xcl_prpty** is built only from **v2clprptym** (men’s property rights) and **v2clprptyw** (women’s property rights), with no judicial inputs. Conversely the judicial battery feeds into **v2x_jucon** (judicial constraints on the executive) and **v2x_rule**, neither of which we use. So property rights and the judicial battery are non-redundant and both are kept.

- **v2xcl_prpty** — V-Dem property-rights composite (men’s and women’s de facto rights to acquire, possess, inherit, and sell private property).
- **v2juncind** and **v2juhcind** — independence of lower courts and the high court from political pressure.
- **v2juhccomp** — government compliance with high-court rulings, the most demanding test of judicial enforcement (does the executive *actually* abide by rulings it dislikes).
- **v2jucorrdc** — judicial bribery; V-Dem’s ordinal coding runs from “Always” (low) to “Never” (high), so high = less bribery and no flip is needed.
- **v2juaccnt** — accountability of judges who engage in misconduct.

All six run positively.

Indicator	Source	Direction	Gloss
v2xcl_prpty	V-Dem	+	Property rights (V-Dem composite of men’s and women’s property rights)
v2juncind	V-Dem	+	Lower court independence
v2juhcind	V-Dem	+	High court independence
v2juhccomp	V-Dem	+	Government compliance with high-court rulings
v2jucorrdc	V-Dem	+	Judicial bribery (V-Dem coding: high = less bribery)
v2juaccnt	V-Dem	+	Judicial accountability for misconduct

Subsidies / clientelism

PSW define “subsidies” broadly to include directed credit, tax breaks, and any state transfer that benefits specific firms or coalitions rather than the economy at large. The unifying logic is particularistic distribution.

- **v2xnp_client** — **Clientelism Index**. A V-Dem Bayesian factor composite of how much politics is built on the targeted, contingent distribution of resources (goods, services, jobs, money) in exchange for political support. The codebook flags that this composite is built from inputs that include **v2psprlnks** (party linkages) and **v2elvotbuy** (vote buying) directly. For that reason we drop those two as separate axis components — keeping them alongside **v2xnp_client** would double-count their signal. Higher score = more clientelism.

- **v2dlencmps** (flipped) — the same particularistic-vs-public-goods budget-mix variable used in Axis 2. Flipped here so that *higher* reflects more particularistic spending. This complements **v2xnp_client** by capturing the *fiscal* face of clientelism rather than the political-relationships face, and is not an input to the composite.

The axis score is high when both political relationships and fiscal spending flow through targeted, particularistic channels.

Indicator	Source	Direction	Gloss
v2xnp_client	V-Dem	+	Clientelism index (V-Dem composite)
v2dlencmps	V-Dem	- (flipped)	Particularistic vs. public-goods spending

Exclusivity

Barriers to entry, licensing regimes, regulatory rents that protect incumbents. We narrow this axis to the *market-side* face of exclusivity, dropping the political-exclusivity V-Dem indicators (**v2x_neopat**, **v2psparban**, **v2psoppaut**) used in earlier drafts. That is a deliberate scope decision — the kept indicators are clean, well-coded, and squarely about market entry, but they cannot distinguish open-market/closed-politics regimes (e.g. Singapore-type) from open-market/open-politics regimes. A reader interested in the political face of exclusivity should consult the V-Dem indicators separately. Both kept indicators are flipped so that higher = more exclusivity:

- **qog_fi_reg** — Fraser Institute composite of business, credit, and labour-market regulation. The Fraser coding has *higher* scores for *less* restrictive regulation, so we flip: higher in our axis = more restrictive regulation, more exclusivity.
- **qog_bti_mo** — Bertelsmann Transformation Index “Organisation of the market and competition.” Higher BTI = a more competitive, open-market environment, so we flip: higher in our axis = a more closed/captured market environment.

The axis score is high when the regulatory environment favours incumbents over entrants.

Indicator	Source	Direction	Gloss
qog_fi_reg	QoG/macro	- (flipped)	Fraser regulation index (high = less regulation)
qog_bti_mo	QoG/macro	- (flipped)	BTI organisation of market and competition

Structural variable — resource rents

The rentier and powerbroker stakeholder types both profit from regulatory rents and demand near-identical policy bundles; what distinguishes them is whether the rent-seeking sector is export-facing (rentiers: oil, mining, plantations) or domestic (powerbrokers: telco, banking, state contracts). The institutional indicators alone cannot separate them. Following PSW’s own use of sector size to make this distinction, we pull **total natural resource rents as % of GDP** (WDI NY.GDP.TOTL.RT.ZS, summing oil, gas, coal, mineral and forest rents) and fold it directly into the fit calculation below as a multiplicative weight on the rentier and powerbroker columns.

Countries with resource-rents data: 193

Year coverage:

##

2011 2014 2015 2018 2019 2020 2021

1 1 1 1 1 3 185

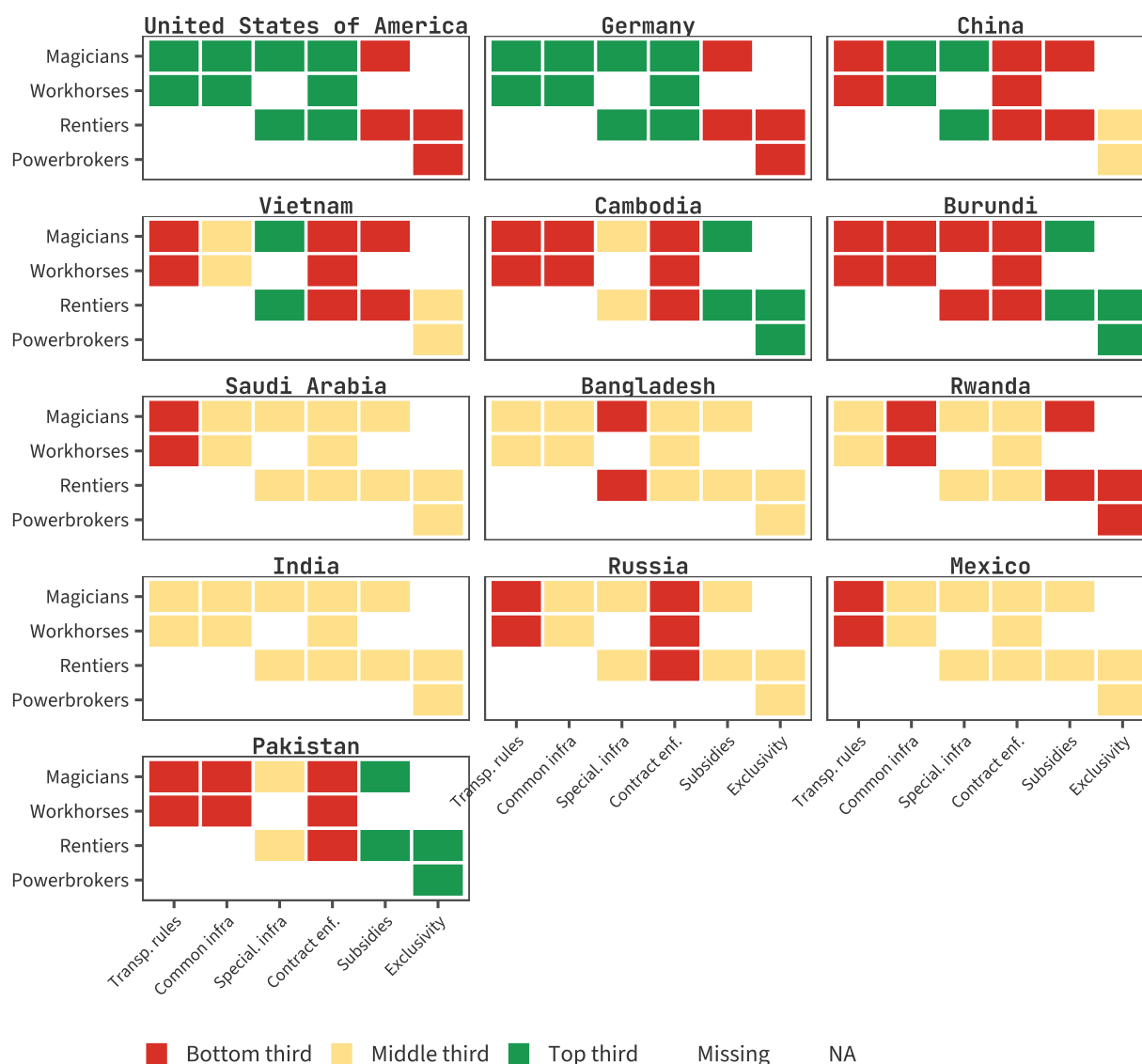
Axis scoring

Countries with full axis coverage: 164

Rents space — policy-demand satisfaction

The rents-space lens asks, for each policy in PSW’s Table 1.1 that a given stakeholder demands, whether the country is supplying it. We render this as a per-country 4×6 grid: cells where the stakeholder demands the policy are coloured by the country’s percentile band on that policy axis (red = bottom third, yellow = middle third, green = top third); cells where there’s no demand are left blank.

Reading down a column tells you which stakeholder coalitions would be served by the country’s strongest policies. Reading across a row tells you whether a given stakeholder’s whole bundle is satisfied — “lots of green” in the magician row means the institutions look magician-friendly. Crucially we don’t aggregate across rows, so nothing is hidden behind a single-number score.



Deals space — partial read

PSW’s deals space asks two questions:

- **Closed vs open:** are state-firm deals available based on the firm’s *identity* (you need to be in the regime club, ethnically tied, an SOE, politically connected) or based on its *actions* (any firm meeting criteria can transact)?
- **Ordered vs disordered:** will a deal be honoured regardless of subsequent political shifts, or only as long as it remains in the short-term political interest of the elite?

We are honest that **V-Dem cannot measure these well**. The closed/ open axis has weak proxies; the ordered/disordered axis is essentially unreachable. We report what we have on openness with explicit caveats and *omit* the order axis entirely rather than ship a formal-rule-of-law composite that would be misread as “deals stick through political shifts.”

Openness — what we can (partially) say

We approximate the action-vs-identity distinction with two indicators, both reverse-coded where needed so high = more action-based / open:

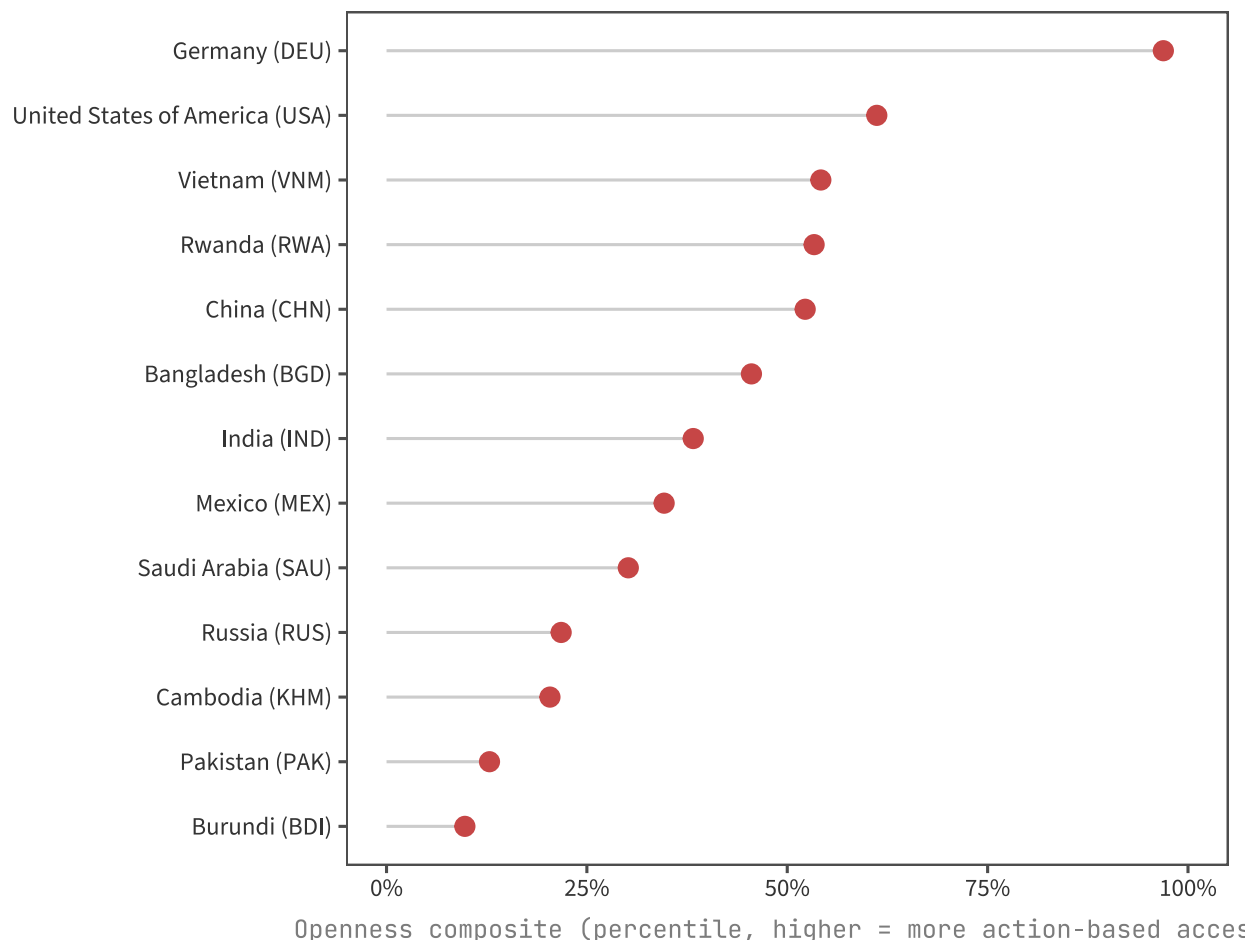
- **v2clrspct** — “*Are public officials rigorous and impartial in the performance of their duties?*” Codebook: “*the extent to which public officials generally abide by the law and treat like cases alike, or conversely, the extent to which public administration is characterized by arbitrariness and biases (i.e., nepotism, cronyism, or discrimination).*” Direct measure of bureaucratic identity-vs- action access.
- **v2dlencmps** — particularistic vs public-goods spending mix (high = public-goods). The fiscal expression: when state allocations flow through identity-targeted channels (specific firms, regions, cronies), deals are closed; when they flow through universal rules, they are open.

What’s *not* in the composite, and why:

- *Political-openness indicators* (opposition autonomy, party ban, electoral democracy) measure who can run for office, not who can do business with the state. They belong to the political-settlement read, not to deals.
- *Petty corruption* (**v2excrtps**) is conceptually ambiguous: high petty corruption means *anyone with money* can transact, which is closer to PSW’s “open and disordered” pole than to “closed”. We drop it rather than commit to a sign.

Table 2: Indicators in the openness composite

Indicator	Direction	Gloss
v2clrspct	+	Rigorous and impartial public administration
v2dlencmps	+	Particularistic vs public-goods spending (high = public goods)



Order — what we cannot say

PSW's *ordered* deal is one that survives political shifts: even if the government changes, even if it becomes inconvenient, the deal sticks. V-Dem has nothing that directly measures inter-temporal durability of state-firm commitments. The closest proxies — `v2juhcomp` (executive compliance with court rulings), `v2juhcind` (high court independence), `v2exrescon` (executive respects constitution) — capture *current* executive discipline, not the “deals survive a change in government” idea.

We deliberately omit an order composite from this section. A reader interested in the ordered/disordered dimension should consult contract-cancellation data (e.g. ICSID arbitration filings) or PRS ICRG's “contract viability” sub-index — both outside V-Dem.

Political settlement — vertical $\times$ horizontal power

The political-settlement framework asks two distinct questions about how political power is distributed:

- **Horizontal power** — concentration of power *among political groups*. High = ONE dominant political group has institutional control and can resist any challenge to it. Low = power is dispersed across several political groups jockeying for control.

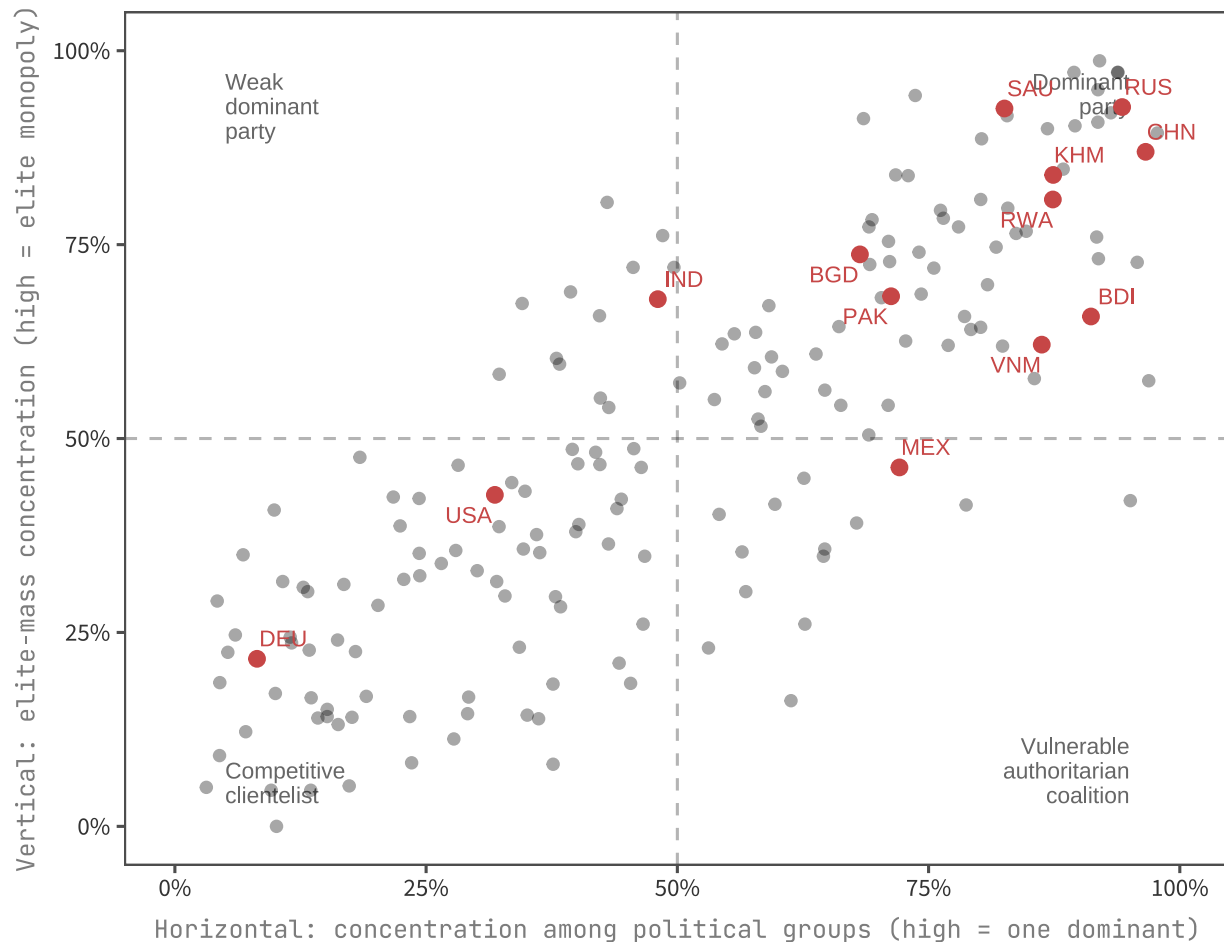
- **Vertical power** — distribution of power between *elites and non-elites*. High = elites monopolise political power, mass voice is negligible. Low = power is more evenly distributed across socioeconomic strata.

The 2×2 produces four types: **dominant party** (high horizontal, high vertical), **vulnerable authoritarian coalition** (high horizontal, low vertical), **weak dominant party** (low horizontal, high vertical), and **competitive clientelist** (low/low).

V-Dem operationalises both concepts cleanly (much more so than the deals space). We use three indicators per axis, all reverse-coded so high score = concentration:

Table 3: Indicators by political-settlement axis. All flipped so high = concentration of power.

Axis	Indicator	Direction	Gloss
Horizontal (group concentration)	v2psoppaut	- (flipped)	Opposition parties autonomy (high = dispersed)
Horizontal (group concentration)	v2lgoppart	- (flipped)	Legislature opposition party oversight (high = dispersed)
Horizontal (group concentration)	v2x_jucon	- (flipped)	Judicial constraints on the executive (high = constrained)
Vertical (elite-mass)	v2pepwrses	- (flipped)	Power distributed by socioeconomic position (high = equal)
Vertical (elite-mass)	v2xeg_eqaccess	- (flipped)	Equal access to power across groups (high = equal)
Vertical (elite-mass)	v2cseeorgs	- (flipped)	CSO entry and exit (high = autonomous CSOs)

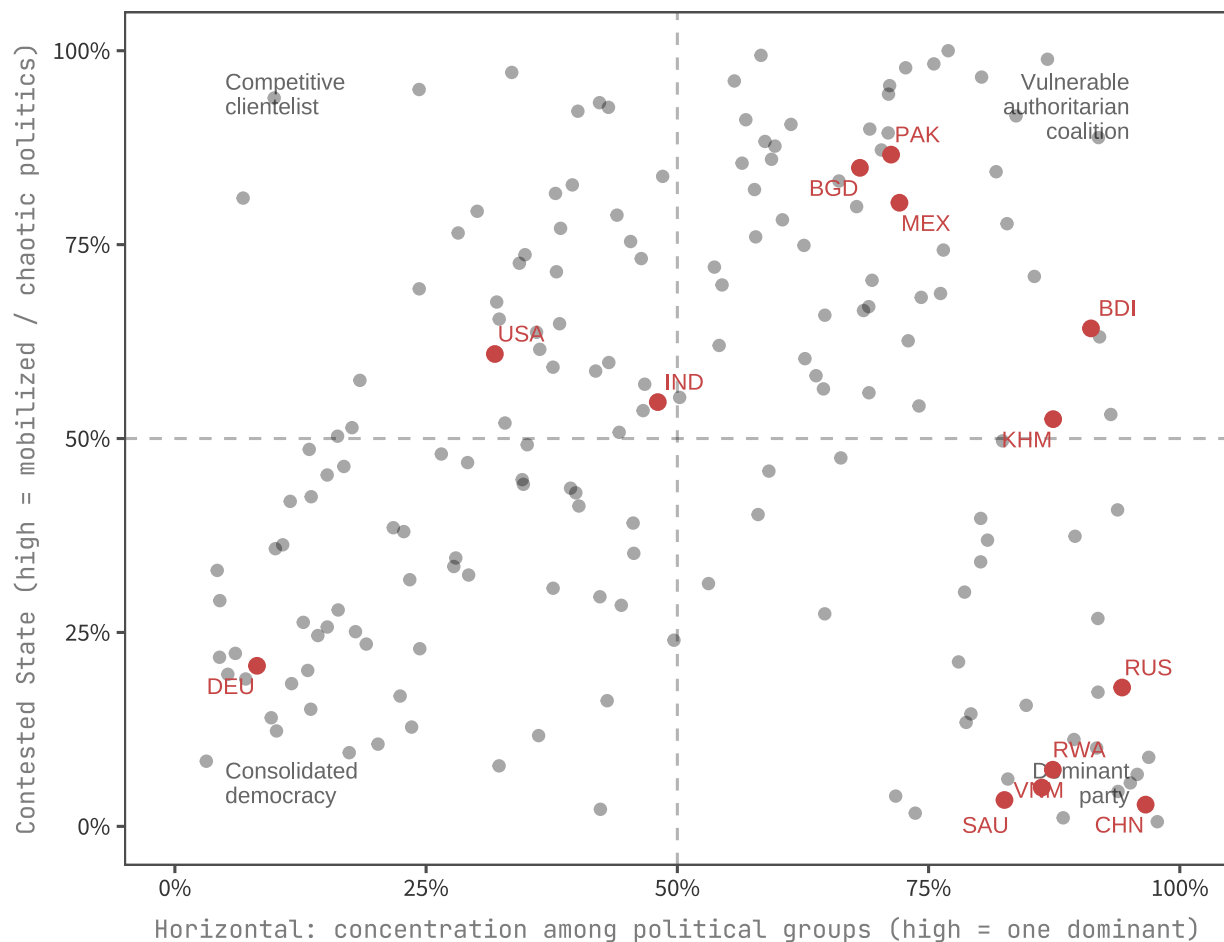


Settlement — horizontal $\times$ managed-vs-contested (PC2 overlay)

The hand-picked vertical axis above measures elite-mass concentration, which is one defensible reading of “political settlement”. A data-driven alternative comes from PC2 of the institutional-complexity PCA (computed in `institutional_complexity.Rmd` over the full 185-feature V-Dem matrix). PC2’s top loadings — anti-system CSO movements, political violence, mass mobilization, antagonistic political camps, elite-organised offline action — read as a **managed vs contested** axis: low PC2 = political conflict is absorbed by institutions (Germany, Singapore, China, Saudi Arabia all cluster here); high PC2 = political conflict is mobilized in the streets (Lebanon, Pakistan, Brazil, Bangladesh, Mexico).

This axis maps onto Khan’s typology more cleanly than the elite-mass axis: dominant-party regimes are concentrated *and* managed; vulnerable authoritarian coalitions are concentrated *but* contested (Pakistan); competitive clientelism is dispersed *and* contested (Lebanon); consolidated democracies are dispersed *and* managed (Germany). The cost is that the elite-mass dimension drops out — we keep `v2peprsrse` etc. in the country-profile table for context.

Countries with PC2: 179 / 179



Country profiles

The three reads brought together for each focus country: where it sits on the deals 2×2, where it sits on the political-settlement 2×2, its rents-space row reads (which stakeholder bundles are best satisfied), and its resource-rents share for context.

Table 4: Country profile table — three reads side by side. Stakeholder columns are mean of percentile scores across that stakeholder’s demanded axes (higher = more of the demanded bundle is supplied).

country_name	iso3	Deals — open-ness	Settlement — horizontal	Settlement — vertical	Settlement — contested	Magicians	Workhorses	Resisters	Powerbrokers
United States of America	USA	0.61	0.32	0.43	0.61	0.69	0.73	0.52	0.05
Germany	DEU	0.97	0.08	0.22	0.21	0.75	0.93	0.53	0.24
China	CHN	0.52	0.97	0.87	0.03	0.45	0.37	0.48	0.60
Vietnam	VNM	0.54	0.86	0.62	0.05	0.41	0.37	0.43	0.51
Cambodia	KHM	0.20	0.87	0.84	0.52	0.32	0.16	0.48	0.69

country_name	iso3	Deals — open- ness	Settlement — horizontal	Settlement — vertical	Settlement — contested	Magicians	Workhorses	Rentiers	Powerbrokers
Burundi	BDI	0.10	0.91	0.66	0.64	0.28	0.11	0.50	0.80
Saudi Arabia	SAU	0.30	0.83	0.93	0.03	0.46	0.37	0.47	0.36
Bangladesh	BGD	0.46	0.68	0.74	0.85	0.39	0.43	0.40	0.62
Rwanda	RWA	0.53	0.87	0.81	0.07	0.38	0.37	0.38	0.33
India	IND	0.38	0.48	0.68	0.55	0.46	0.42	0.52	0.59
Russia	RUS	0.22	0.94	0.93	0.18	0.42	0.31	0.47	0.49
Mexico	MEX	0.35	0.72	0.46	0.80	0.47	0.41	0.48	0.36
Pakistan	PAK	0.13	0.71	0.68	0.87	0.38	0.24	0.54	0.70

Outputs

```
## Wrote: outputs/deals_axis_scores.csv (164 rows)
```

```
## Wrote: outputs/deals_openness_scores.csv (179 rows)
```

```
## Wrote: outputs/settlement_scores.csv (179 rows)
```

```
## Wrote: outputs/rents_stakeholder_satisfaction.csv (656 rows)
```

Caveats and next steps

- **Three reads, not one composite.** We deliberately don't compress these into a single country score. PSW's framework treats them as complementary lenses — a country can look magician-friendly on rents but competitive-clientelist on settlement (Bangladesh) — and the policy implications differ.
- **Political-settlement indicators are proxies.** Khan's vertical / horizontal power isn't directly measured by V-Dem; we approximate with electoral openness and personalism composites. Country reads near the diagonals (vulnerable-authoritarian vs dominant-party, competitive-clientelist vs weak-dominant-party) should be treated as suggestive rather than authoritative.
- **The rents-space grid is a *supply* read, not a *power* read.** A country whose institutions look magician-friendly is one where magicians *would prosper*, not necessarily one where magicians hold political power. The book's reading of "who actually wins" requires sectoral data that isn't in this panel.
- **No infrastructure-stock data in V-Dem.** Common-infra and specialized-infra rely on WDI access/quality measures, which have more measurement noise than the V-Dem axes.
- **Resource-rents context.** Rents data is point-in-time per country (latest non-NA since 2010). Eritrea (2011) and Venezuela (2014) series stop being reported in recent years; reads on those use pre-collapse levels.